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# Clear Channel Outdoor Credit Research



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## Outlook

### Clear Channel Leverage Likely 5x After 4Q Takeout: Credit React

(Bloomberg Intelligence) -- RECENT EVENT REACTION: Clear Channel Outdoor's net leverage likely improves to about 5x this year with the company's acquisition by a Mubadala Capital-led investor group and the redemption of its senior notes. Clear Channel's net leverage was about 10x over the past three years, but should be much better this year, with higher Ebitda fueled by top-line growth and debt reduction funded by the company's takeout. Clear Channel on Oct. 1 said the company's acquisition should close in early 4Q vs. previous expectations for a 3Q completion. Clear Channel expects to redeem $1.8 billion of senior notes due 2028-29 on Nov. 23, funded by the investor group. (10/01/26)

### Clear Channel Outdoor: Credit Outlook

THESIS: Clear Channel Outdoor's 10x net leverage should decrease this year through a combination of organic growth and an acquisition of the company by Mubadala Capital in partnership with TWG Global. The deal should support Clear Channel's deleveraging. The company's secured bonds (B2/B) trade at a premium to junk-rated communications peers. (02/17/26)

## Credit Considerations

### Credit Checklist

### Clear Channel Credit Profile Should Improve With Growth, Deal

Clear Channel Outdoor's credit profile is positioned to improve in 2026, supported by both operating momentum and a pending ownership change. The company has agreed to be purchased by Mubadala Capital in partnership with TWG Global in a deal expected to be completed by the end of 3Q, with the transaction likely to improve the company's credit profile. Clear Channel on Feb. 9 said the deal will enhance its financial flexibility and support deleveraging. The company's $5.1 billion of debt includes $3.3 billion of secured bonds and loans (B2/B) and $1.8 billion of unsecured notes (Caa3/CCC).

Clear Channel’s US outdoor advertising business accounts for about 75% of total revenue vs. 25% for its airports advertising segment. (02/17/26)

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**Interactive Clear Channel Credit Checklist**

| Credit Drivers | Outlook | Outlook Trend | Weighting (%) |
|---|---|---|---|
| Earnings & Cash Flow | Neutral | ↔ | 25 |
| Leverage & Financial Policies | Unfavorable | ↔ | 25 |
| Competitive Landscape | Neutral | ↔ | 10 |
| M&A | Favorable | ↔ | 15 |
| Event Risk | Neutral | ↔ | 5 |
| Stock Performance | Favorable | ↔ | 5 |
| Debt Maturities | Favorable | ↔ | 15 |
| Valuation | Neutral | ↑ | N.A. |

Unfavorable Neutral Favorable

Note: This reflects a qualitative analysis by a Bloomberg Intelligence Analyst and is as of the date of publication.

Bloomberg Intelligence

Source: Bloomberg Intelligence

## Credit Drivers

### Clear Channel Secured Bond Prices Above Put Option Amid Deal

Clear Channel Outdoor's secured bonds due in 2030-33 (B2/B) trade at about 105-109 cents on the dollar, well above the change-of-control put options at 101. The company's sale to Mubadala Capital in partnership with TWG Global is expected to enhance Clear Channel's financial flexibility and support deleveraging. Its credit profile may improve with the deal, supporting prices above par for the company's secured bonds. (02/11/26)

### Likely Ample Liquidity to Address Obligations

Clear Channel should have plenty of liquidity to address its obligations via redemptions or any exercised put options. Mubadala Capital in partnership with TWG Global has agreed to acquire Clear Channel for $6.2 billion, including the purchase of its equity for $2.43 per share in cash and assumption of about $5.1 billion of debt. Apollo has committed to invest in preferred equity of the company. Total equity commitments are up to $3.3 billion and the company has a 364-day secured bridge debt commitment of up to $3.4 billion. The deal is expected to close by the end of 3Q.

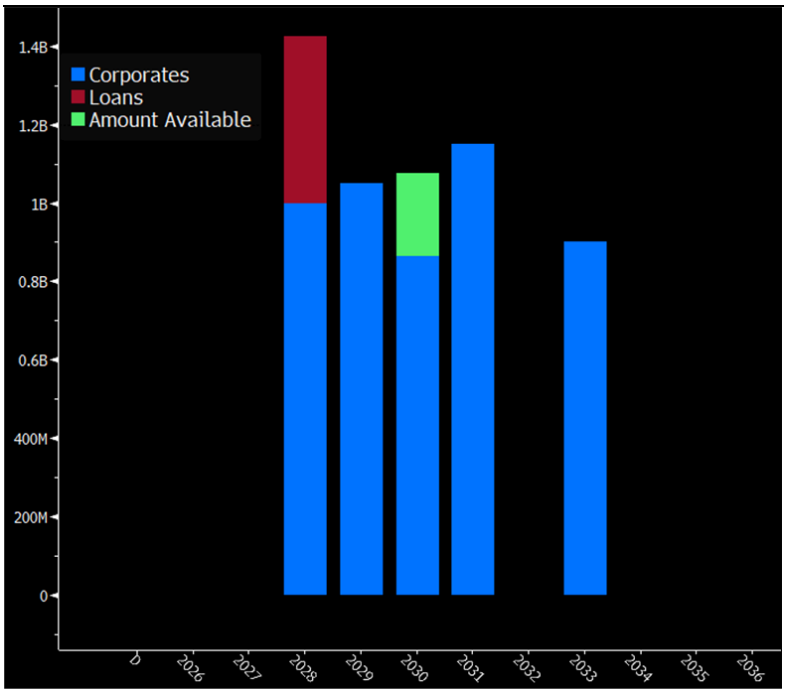
Clear Channel total debt of $5.1 billion includes $3.3 billion of secured bonds and loans (B2/B) and $1.8 billion of unsecured notes (Caa3/CCC). (02/11/26)

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**Clear Channel Outdoor Maturity Schedule**




Source: Bloomberg Intelligence

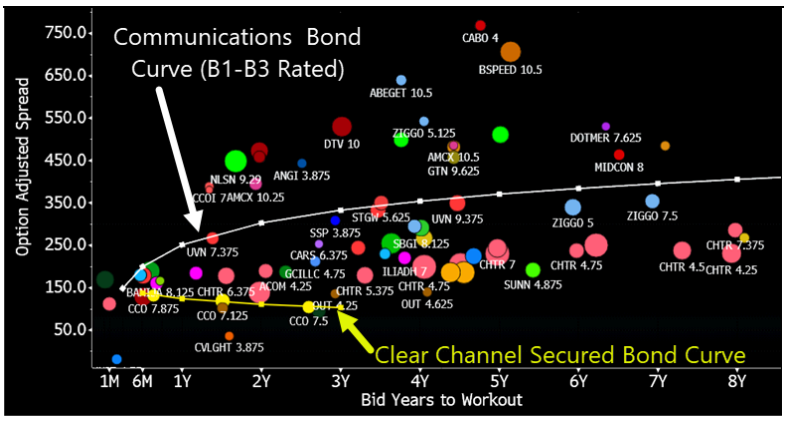
## Valuation

### Secured Bonds at Premium to Junk Peers

Clear Channel's secured bonds due in 2030-33 (B2/B) trade at option-adjusted spreads that are well inside the regression curve of communications bonds rated B1-B3 by Moody's included in the Bloomberg US Corporate High Yield Bond Index. Clear Channel's secured obligations have a high-6x leverage ratio while the company's total debt net leverage is about 10x. The announced acquisition of Clear Channel for a total value of $6.2 billion includes significant equity and debt commitments, and expectations to support the company's deleveraging.

Clear Channel bonds trade slightly inside of Charter Communications' unsecured notes (B1/BB-). Charter has agreed to acquire Cox Communications and is striving for the low end of its 3.5-3.75x net leverage target. (02/11/26)

**HY Index: Communications Bonds Rated B1-B3**




Source: Bloomberg Intelligence

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